

IRFC

Book Value

0.38

ROE

13.04

Interest Coverage

1.32

Debt/Equity

8.38

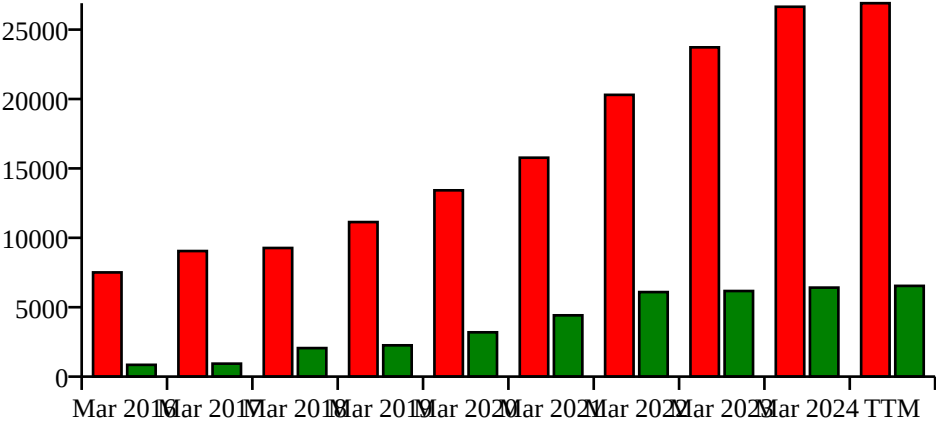
Revenue CAGR

19.07

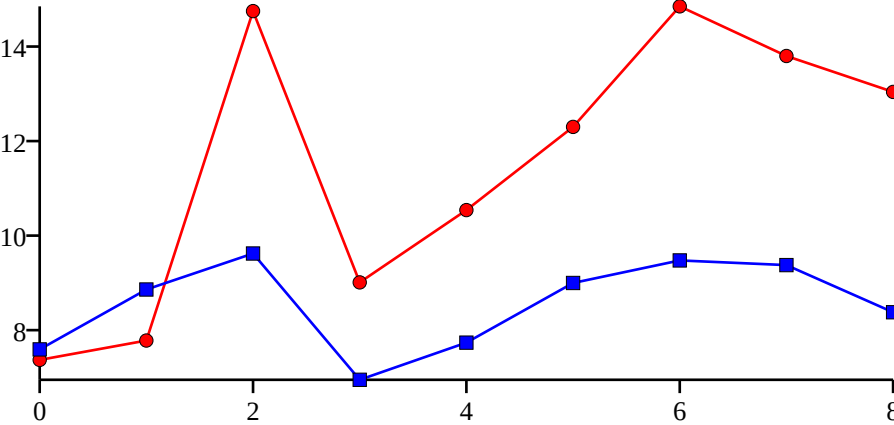
PAT CAGR

23.25

Revenue vs Net Profit (10 Years)



ROE vs Debt-to-Equity



Pros

- Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Net profit compounding above 20% over five years creates significant shareholder value.
- Positive free cash flow supports sustainable shareholder distributions.
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Cons

- Debt-to-equity ratio of 8.38 is elevated and warrants monitoring.
- Interest coverage ratio below 1.5x indicates elevated debt servicing risk.

Capital Allocation : Reinvestor